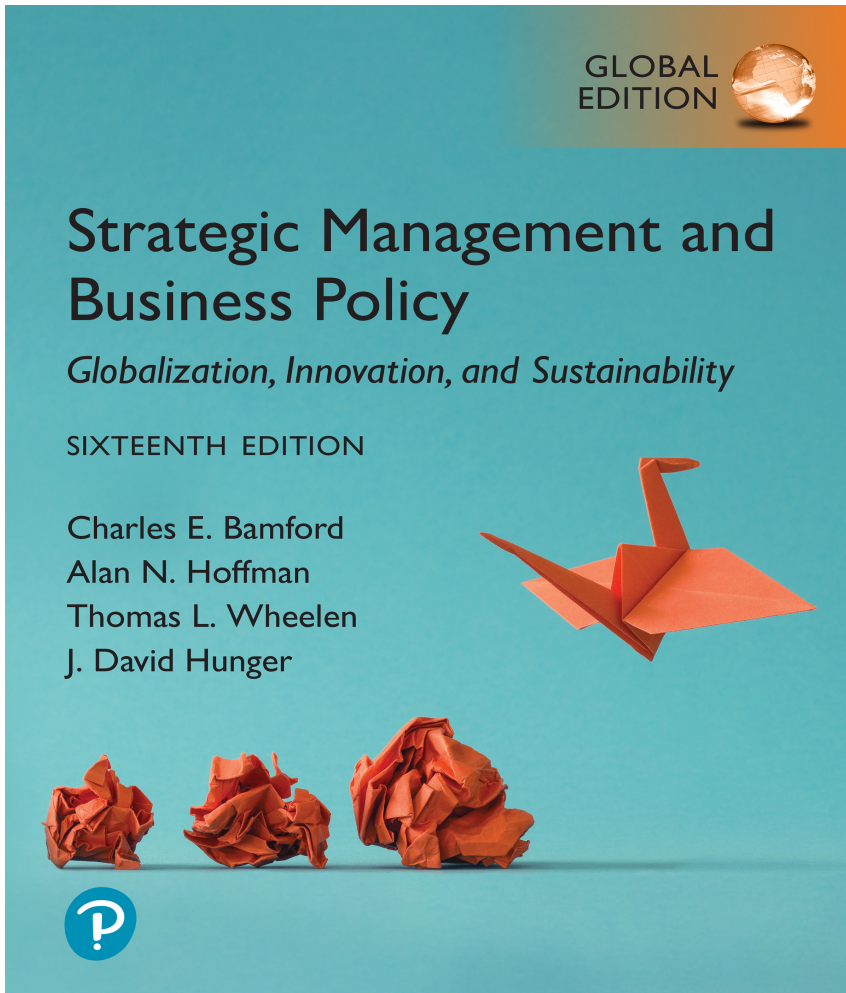


Strategic Management and Business Policy: Globalization, Innovation and Sustainability

Sixteenth Edition, Global Edition



Chapter 6

Strategy Formulation: Business Strategy

A Framework for Examining Business Strategy (1 of 2)

- **Strategy formulation**
 - concerned with developing a corporation's mission, objectives, strategies, and policies
- **Situation analysis**
 - the process of finding a strategic fit between external opportunities and internal strengths while working around external and internal weaknesses

A Framework for Examining Business Strategy (2 of 2)

- **SWOT**
 - acronym used to describe the particular strengths, weaknesses, opportunities, and threats that are potential strategic factors for a specific company
- **Strategy** = opportunity / capacity
- **Opportunity** has no real value unless a company has the capacity to take advantage of that opportunity.

Generating a Strategic Factors Analysis Summary (SFAS) Matrix

- **SFAS (Strategic Factors Analysis Summary) Matrix**
 - summarizes an organization's strategic factors by combining the external factors from the EFAS Table with the internal factors from the IFAS Table

Figure 6-1: Strategic Factor Analysis Summary (SFAS) Matrix (1 of 6)

Internal Strategic Factors	Weight	Rating	Weighted Score	Comments
1	2	3	4	5
Strengths				
S1 Semi-autonomous management structure	.05	5	.25	Allows the global brand to expand with a focus in local markets using licensing & subsidiaries
S2 Using excess capital to re-invest into business activities vs. paying dividends	.10	3	.30	Lends the opportunity to grow faster but they are not investing back into marketing or R&D
S3 Low debt ratio & increasing cash flows	.10	3	.30	Increases stakeholder confidence & more equity means less reliance on debt
S4 All manufacturing is outsourced	.10	5	.50	It is expensive to own manufacturing facilities
S5 Offer paid training program and good benefits	.025	3	.075	Employee programs allow for growth and development
S6 Increased spending on IS	.095	3	.285	IS will ultimately increase efficiency and control measures

Figure 6-1: Strategic Factor Analysis Summary (SFAS) Matrix (2 of 6)

Internal Strategic Factors	Weight	Rating	Weighted Score	Comments
	1	2	3	4
Weaknesses				
W1 Lack of focused values, culture, & diversity	.03	4	.12	Skechers values, culture, & social position is not well defined and affect HR, customers, employees, and possibly the bottom line. Diversity is a pressing political topic and should be something to address at the corporate level
W2 Consolidated Outsourcing	.15	4	.60	They are highly susceptible to manufacturers since 30% of manufacturing comes from one manufacturer and 5 more make-up 56.6%.
W3 No long term contracts for outsourced manufacturing	.025	5	.125	Although there are "good relationships" with manufacturing relations abroad, there is not a guarantee for continued service & 1 plant holds 30% of manufacturing activities
W4 Poor Utilization of Social Media	.05	4	.20	Their social media presence is weak and they have a difficult time getting people who follow the social media groups to interact
W5 Trailing the competition in internal IT capabilities	.15	3	.45	Without the latest IT capabilities, Skechers will not survive the era where more is being done online
W6 Weak Online Sales	.10	3	.30	More and more people are buying items online and they need to be able to conform to this trend
W7 Association with disreputable contractors harms reputation	.025	3	.075	Corporate social responsibility is currently heavily emphasized
Total Scores	1.00		3.58	

Figure 6-1: Strategic Factor Analysis Summary (SFAS) Matrix (3 of 6)

External Strategic Factors	Weight	Rating	Weighted Score	Comments
1	2	3	4	5
Opportunities				
01 Global Marketplace	.15	5	0.75	Skechers moved into regions around the world with retail stores and distribution centers
02 Consumer need for shoes	.10	5	.50	Consumers consistently need new athletic and leisure shoes, and Skechers offers them for lower prices than competitors
03 Ecommerce sales	.10	5	.50	Skechers ecommerce sales have been lacking
04 Social media popularity	.00	2	.00	Skechers social media does not have as many followers as main competitors
05 Customized footwear	.00	1	.00	Skechers does not customize shoes like Nike and Adidas
06 Cultural interest in staying fit and active	.05	4	.20	Interest in staying fit means individuals will buy shoes
07 Giving back to the community	.00	3	.00	Giving back is part of Skechers Triple Bottom Line
08 Following celebrity endorsements	.00	4	.00	Skechers focused on getting celebrity endorsements for their niche market
09 Brand Awareness	.10	3	.30	As a global brand, Skechers has a lot of brand awareness, but not as much as the top 4 companies

Figure 6-1: Strategic Factor Analysis Summary (SFAS) Matrix (4 of 6)

External Strategic Factors	Weight	Rating	Weighted Score	Comments
1	2	3	4	5
Threats				
T1 Foreign Currency Exchange	.00	5	.00	Foreign currency that doesn't translate well to the dollar means a profit loss
T2 "Bing Bang Disruption"	.15	4	.60	Skechers could be popular in one region today, but not popular tomorrow. At the same time, Skechers could oust one of the big competitors quickly, but it is not as likely.
T3 Red Ocean Environment	.10	3	.30	Skechers has a difficult time competing in an environment where there was almost no room for growth
T4 4 companies controlled 75% of the market	.15	3	.45	With only 4 companies controlling 75% of the market, it became a major challenge for Skechers to grow
T5 Ethics laws	.00	1	.00	Skechers ran into some ethics violations. For example, they were accused of violating employee regulations
T6 Importing Laws	.00	5	.00	While it is a hassle to follow import laws, it is necessary if Skechers wants to grow internationally
T7 Intellectual Property Rights	.05	1	.05	Skechers has been accused of violating multiple intellectual property rights including patent infringements
T8 Changing Consumer Tastes	.05	4	.20	Changing consumer tastes means the footwear industry has to constantly keep updating their fashion
Total Scores	1.00		3.85	

Figure 6-1: Strategic Factor Analysis Summary (SFAS) Matrix (5 of 6)

1 Strategic Factors (Select the most important opportunities and threats from EFAS, Table 4–5 and the most important strengths and weaknesses from IFAS, Table 5–2)	2 Weight	3 Rating	4 Weighted Score	5 Duration Short Intermediate Long	6 Comments
S2 Using excess capital to re-invest into business activities vs. paying dividends	.15	3	.45	✓	Lends the opportunity to grow faster but they are not investing back into marketing or R&D
S3 Low debt ratio & increasing cash flows	.07	3	.21	✓	Increases stakeholder confidence & more equity means less reliance on debt
S4 All manufacturing outsourced	.03	5	.15		It is expensive to own manufacturing facilities
W2 Consolidated Outsourcing	.05	4	.20		They are highly susceptible to manufacturers since 30% of manufacturing comes from one source and five others make up 56.6%
W5 Trailing competition in internal IT capabilities	.15	3	.45	✓	Without the latest IT capabilities, Skechers will not survive the era of everything being done online
W6 Weak Online Sales	.05	3	.15	✓	More and more people are buying items online and they need to be able to conform to this trend
O1 Global Marketplace	.05	5	.25	✓	Skechers moved into regions around the world with retail stores and distribution centers

Figure 6-1: Strategic Factor Analysis Summary (SFAS) Matrix (6 of 6)

02 Consumer need for shoes	.05	5	.25			✓	Consumers consistently need now athletic and leisure shoes, and Skechers offers them for lower prices than competitors
03 Ecommerce sales	.15	2	.30	✓			Skechers ecommerce sales have been lacking
09 Brand Awareness	.00	4	.00			✓	As a global brand, Skechers has a lot of brand awareness, but not as much as the top 4 companies
T2 "Bing Bang Disruption"	.05	4	.20			✓	Skechers could be popular in one region today, but not popular tomorrow. At the same time, Skechers could oust one of the big competitors quickly, but it is not as likely.
T3 Red Ocean Environment	.00	3	.00			✓	Skechers has a difficult time competing in an environment where there was almost no room for growth
T4 4 companies controlled 75% of the market	.05	3	.15			✓	With only 4 companies controlling 75% of the market, it became a major challenge for Skechers to grow
T7 Intellectual Property Rights	.15	1	.15			✓	Skechers was accused of violating multiple intellectual property rights including patent infringements
Total Scores	<u>1.00</u>		<u>2.91</u>				

สรุปกลยุทธ์ใน TOWS Matrix

Theory of Heinz Wehrich in TOWS Long Range Planning

	STRENGTH	WEAKNESS
OPPORTUNITY	SO Maximize Strengths – Maximize Opportunities สถานการณ์: จุดแข็งภายในองค์กรมีศักยภาพที่จะพิชิตโอกาสที่เข้ามาสูงสุด กลยุทธ์ SO: ใช้จุดแข็งซึ่งความได้เปรียบจากโอกาสที่ค้นพบ ลักษณะกลยุทธ์: Aggressive Strategy	WO Minimize Weaknesses – Maximize Opportunities สถานการณ์: มีโอกาสจากภายนอก แต่องค์กรมีจุดอ่อนภายในที่ยังติดขัด กลยุทธ์ WO: เร่งพัฒนาแก้ไขจุดอ่อนเพื่อไขว่คว้าโอกาส ลักษณะกลยุทธ์: Turn-around Strategy
THREAT	ST Maximize Strengths – Minimize Threats สถานการณ์: บริษัทมีจุดแข็งที่มีศักยภาพ แต่มีอุปสรรคเข้ามาปะทะองค์กร กลยุทธ์ ST: พัฒนาหรือใช้จุดแข็งเอาชนะอุปสรรคภายนอก ลักษณะกลยุทธ์: Diversification Strategy	WT Minimize Weaknesses – Minimize Threats สถานการณ์: องค์กรต้องรับมือกับอุปสรรคจากภายในและภายนอก กลยุทธ์ WT: ลดจุดอ่อนภายในเพื่อลดความเสียหายที่จะเกิดขึ้น ลักษณะกลยุทธ์: Defensive Strategy กลยุทธ์เชิงรับ

REFERENCE:

1. MANAGEMENT: A GLOBAL, INNOVATIVE, AND ENTREPRENEURIAL PERSPECTIVE, BY HEINZ WEHRICH, MARK V. CANNICE, AND HAROLD KOONTZ, 14TH EDITION, MCGRAW-HILL, INDIA (2013)
2. THE TOWS MATRIX – A TOOL FOR SITUATIONAL ANALYSIS HEINZ WEHRICH, PROFESSOR OF MANAGEMENT, UNIVERSITY OF SAN FRANCISCO, [HTTPS://NONPROFITBUILDER.ORG/STORAGE/303/TOWS-LONG-RANGE-PLANNING-HEINZ-WEHRICH.PDF](https://nonprofitbuilder.org/storage/303/tows-long-range-planning-heinz-wehrich.pdf)

Process of corporate strategy and the TOWS analysis

by Heinz Weihrich in TOWS Long Range Planning

1. Prepare an Enterprise Profile: (a) the Kind of Business; (b) Geographic Domain; (c) Competitive Situation; (d) Top Management Orientation

Internal Factors External Factors	4. Prepare a SW Audit in: (a) Management and Organization; (b) Operations; (c) Finance; (d) Marketing; (e) Other		
	5. Develop Alternatives 6. Make Strategic Choices Consider Strategies, Tactics, Action 7. Test for Consistency from Steps 1 to 6. Also Prepare Contingency Plans.	List Internal Strengths (S): S1. S2. S3.	List Internal Weaknesses (W): W1. W2. W3.
2. Identify and Evaluate the following Factors: (a) Economic (b) Social (c) Political (d) Demographic (e) Products and Technology (f) Market and Competition	List External Opportunities (O): (Consider Risks Also) O1. O2. O3.	SO: Maxi-Maxi	WO: Mini-Maxi
	List External Threats (T): T1. T2. T3.	ST: Maxi-Mini	WT: Mini-Mini
3. Prepare a Forecast, Make Predictions and Assessment of the Future on same factors			

REFERENCE:

1. MANAGEMENT: A GLOBAL, INNOVATIVE, AND ENTREPRENEURIAL PERSPECTIVE, BY HEINZ WEIHRICH, MARK V. CANNICE, AND HAROLD KOONTZ, 14TH EDITION, MCGRAW-HILL, INDIA (2013)
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TOWS Matrix to Volkswagen from late 1973 to early 1975

by Heinz Weihrich in TOWS Long Range Planning

ปัจจัยภายใน ปัจจัยภายนอก	S: จุดแข็งภายใน S1. เชี่ยวชาญการวิจัยและพัฒนาวิศวกรรมเครื่องยนต์ S2. เครือข่ายมีความพร้อมทั้งด้านการขายและบริการ S3. ประสิทธิภาพในการผลิตแบบ Automation	W: จุดอ่อนภายใน W1. Volkswagen เน้นการขายผลิตภัณฑ์รุ่นเดียว W2. ต้นทุนที่เพิ่มขึ้นสูงในเยอรมนี W3. หากสร้างโรงงานประกอบในอเมริกา VW ยังไม่เคยมีประสบการณ์ในการจัดการกับสหภาพแรงงานสหรัฐ
O: โอกาสภายนอก (การวิเคราะห์โอกาสต้องพิจารณาถึงความเสี่ยงด้วย) O1. จากตัวเลือกของ Luxurious Cars ที่มีมากขึ้นในตลาด ส่งผลให้ความต้องการของตลาดกลุ่มนี้เติบโตขึ้น O2. การสร้างโรงงานประกอบขึ้นส่วนที่อเมริกาจะทำให้ได้ข้อเสนอดีมากมายประการ O3. เครื่องยนต์ขนาดเล็กเป็นที่ต้องการของกลุ่ม Chrysler และ American Motors	SO: Maxi-Maxi 1. ผลิตและพัฒนาผลิตภัณฑ์ให้มีทางเลือกที่หลากหลาย ในแต่ละช่วงราคาตลาดเพื่อเอาชนะคู่แข่ง (Dasher, Scirocco, Rabbit, Audi Line) (O1 S1 S2) 2. สร้างโรงงานประกอบที่อเมริกาโดยอาศัยความเชี่ยวชาญในการผลิต (O2 S1 S3) 3. สร้างเครื่องยนต์ให้ Chrysler และ AMC (O3 S3)	WO: Mini-Maxi 1. พัฒนาโมเดลที่เหมาะสมสำหรับรุ่นรถยนต์ในแต่ละช่วงราคา (ลำดับจาก Rabbit ถึง Audi) (O1 W1) 2. การสร้างโรงงานที่อเมริกา สามารถช่วยรับมือกับสถานการณ์ต้นทุนที่สูงขึ้นในเยอรมนี ทั้งนี้จำเป็นต้องจ้างผู้จัดการชาวอเมริกันที่มีประสบการณ์ในการจัดการกับสหภาพแรงงานสหรัฐ (O2 W2 W3)
T: อุปสรรคภายนอก T1. อัตราแลกเปลี่ยน: การลดค่าเงินจาก Deutsche Mark (DM) มา U.S.Dollar T2. การแข่งขันของผู้ผลิตรถยนต์ทั้งจากญี่ปุ่นและในสหรัฐอเมริกา T3. น้ำมันที่ขาดแคลนส่งผลให้ราคาน้ำมันเพิ่มสูงขึ้น	ST: Maxi-Mini 1. ลดผลกระทบที่จะเกิดขึ้นจากอัตราแลกเปลี่ยนโดยตั้งโรงงานที่อเมริกา (T1 T2 S1 S3) 2. สร้างความแตกต่าง เน้นการแข่งขันไปที่ด้านการออกแบบเทคโนโลยีขั้นสูง (Rabbit) (T2 T3 S1 S2) 3. ปรับปรุงการบริการลูกค้าเชิงพาณิชย์โดยพัฒนาการจัดการเชื้อเพลิงและเครื่องยนต์ดีเซล (T3 S1)	WT: Mini-Mini A. เอาชนะจุดอ่อน โดยทำให้แข็งแกร่ง (OS Strategy) ลดอุปสรรคการแข่งขันโดยพัฒนาทางเลือกของผลิตภัณฑ์ให้มีมากขึ้น (T2 W1) B. ทางเลือกอื่น ๆ ที่เป็นไปได้ แต่ VW ไม่ได้ทำ 1. Joint Operation กับ Chrysler หรือ AMC 2. ถอนตัวจากตลาดสหรัฐ

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[PLANNING-HEINZ-WEIHRICH.PDF](https://nonprofitbuilder.org/storage/303/tows-long-range-planning-heinz-weihrich.pdf)

Finding a Propitious Niche

- **Propitious niche**
 - so well suited to the firm's internal and external environment that other corporations are not likely to challenge or dislodge it
- **Strategic window**
 - a unique market opportunity that is available for a particular time

Mission and Objectives (1 of 2)

- The mission statement must enable a common thread to highlight and focus the energy of everyone in the organization in the direction that the top management team believes is best for the business.

Mission and Objectives (2 of 2)

A well-crafted mission statement has five common elements

1. It must be short.
2. The design must be simple.
3. It has to provide direction.
4. It should enable employees knowing exactly what the company does and what it does not do.
5. It should be measurable.

Business Strategies

- **Business strategy**
 - focuses on improving the competitive position of a company's or business unit's products or services within the specific industry or market segment that the company or business unit serve
 - Competitive, cooperative

Porter's Competitive Strategies (1 of 7)

Competitive strategy raises the following questions:

- Should we compete on the basis of lower cost (and thus price), or should we differentiate our products or services on some basis other than cost, such as quality or service?

Porter's Competitive Strategies (2 of 7)

- Should we compete head-to-head with our major competitors for the biggest but most sought-after share of the market, or should we focus on a niche in which we can satisfy a less sought-after but also the profitable segment of the market?

Porter's Competitive Strategies (3 of 7)

- **Cost leadership**

- ability of a company or a business unit to design, produce, and market a comparable product more efficiently than its competitors

- **Differentiation**

- ability of a company to provide unique and superior value to the buyer in terms of product quality, special features, or after-sale service

Porter's Competitive Strategies (4 of 7)

- **Focus**
 - ability of a company to provide unique and superior value to a particular buyer group, segment of the market line, or geographic market

Porter's Competitive Strategies (5 of 7)

- **Cost leadership**

- lower-cost competitive strategy that aims at the broad mass market and requires “aggressive construction of efficient-scale facilities, vigorous pursuit of cost reductions from experience, tight cost and overhead control, avoidance of marginal customer accounts, and cost minimization”
- provides a defense against rivals
- provides a barrier to entry
- generates increased market share

Porter's Competitive Strategies (6 of 7)

- **Differentiation**

- involves the creation of a product or service that is perceived throughout its industry as having passed through the elements of VRIO.

- Lowers customers sensitivity to price
- Increases buyer loyalty
- Can generate higher profits

Porter's Competitive Strategies (7 of 7)

- **Cost focus**
 - low-cost competitive strategy that focuses on a particular buyer group or geographic market and attempts to serve only this niche to the exclusion of others
- **Differentiation focus**
 - concentrates on a particular buyer group, product line segment, or geographic market to serve the needs of a narrow strategic market more effectively than its competitors

Risks in Competitive Strategies

- A company following a **differentiation strategy** must ensure that the higher price it charges for its higher quality is not too far above the price of the competition, otherwise customers will not see the extra quality as worth the extra cost.

Issues in Competitive Strategies (1 of 2)

- **Stuck in the middle**
 - when a company has no competitive advantage and is doomed to below-average performance

Issues in Competitive Strategies (2 of 2)

- Successful entrepreneurial ventures follow focus strategies.
- They differentiate their product or service from those of others by focusing on customer wants in a segment of the market, thereby achieving a dominant share of that part of the market.

Industry Structure and Competitive Strategy (1 of 3)

- **Fragmented industry**
 - many small and medium-sized companies compete for relatively small shares of the total market
- Products are typically in early stages of product life cycle.
- Focus strategies are used.

Industry Structure and Competitive Strategy (2 of 3)

- **Consolidated industry**
 - domination by a few large companies
 - premium on a firm's ability to achieve cost leadership

Industry Structure and Competitive Strategy (3 of 3)

- **Strategic rollup**
 - developed in the mid-1990s as an efficient way to quickly consolidate a fragmented industry
- Rollups differ from mergers/acquisitions in three ways:
 1. They involve large numbers of firms.
 2. The acquired firms are typically owner operated.
 3. The objective is to reinvent an entire industry.

Hypercompetition and Competitive Advantage Sustainability

- **Sustained competitive advantage** is increasingly a matter not of a single advantage maintained over time, but more a matter of sequencing advantages over time.

Cooperative Strategies (1 of 3)

- **Cooperative Strategies**
 - used to gain a competitive advantage within an industry by working with other firms
 - collusion, strategic alliances

Cooperative Strategies (2 of 3)

- **Collusion**

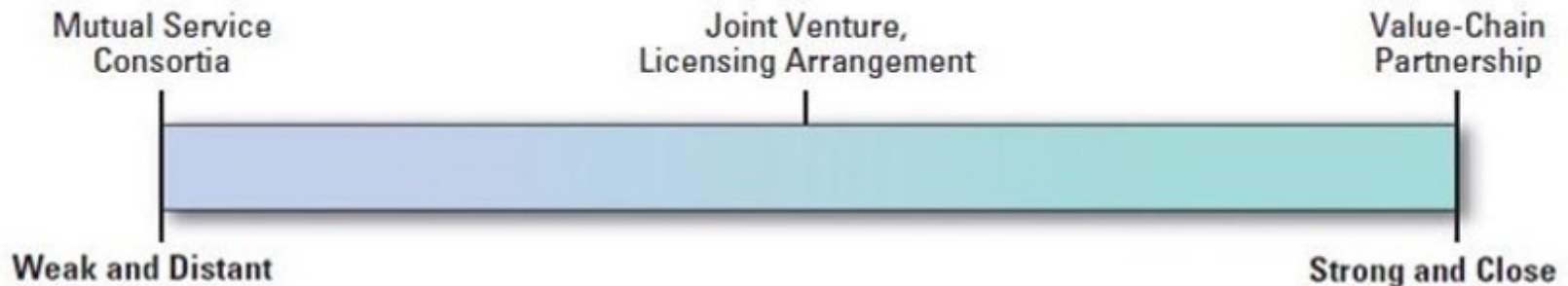
- the active cooperation of firms within an industry to reduce output and raise prices to avoid economic law of supply and demand
- explicit collusion is illegal in many countries but involves active coordination and communication
- implicit collusion, or tacit collusion, can also be illegal but involves no direct communication among competing firms

Cooperative Strategies (3 of 3)

- **Strategic Alliances**

- a long-term cooperative arrangement between two or more independent firms or business units that engage in business activities for mutual economic gain

Figure 6-2: Continuum of Strategic Alliances



Source: Based on Collaborative Advantage: The Art of Alliances by R. M. Kanter (July–August 1994). **Harvard Business Review.** © Thomas L. Wheelen.

Strategic Alliances (1 of 5)

Companies may form a strategic alliance for several reasons including:

- Obtain or learn new capabilities
- Obtain access to specific markets
- Reduce financial risk
- Reduce political risk

Strategic Alliances (2 of 5)

- **Mutual service consortium**
 - partnership of similar companies in similar industries that pool their resources to gain a benefit that is too expensive to develop alone, such as access to advanced technology

Strategic Alliances (3 of 5)

- **Joint venture**
 - cooperative business activity, formed by two or more separate organizations for strategic purposes, that creates an independent business entity and allocates ownership, operational responsibilities, and financial risks and rewards to each member, while preserving their separate identity/autonomy

Strategic Alliances (4 of 5)

- **Licensing arrangement**
 - an agreement in which the licensing firm grants rights to another firm in another country or market to produce and/or sell a product

Strategic Alliances (5 of 5)

- **Value-chain partnership**
 - a strong and close alliance in which one company or unit forms a long-term arrangement with a key supplier or distributor for mutual advantage

Q & A